

**BEFORE THE
FEDERAL MARITIME COMMISSION**

DOCKET NO. 23-08

**MSC MEDITERRANEAN SHIPPING COMPANY, S.A. – POSSIBLE VIOLATIONS OF
THE
SHIPPING ACT, 46 U.S.C. §§ 41102(c), 40501 and 41104(a)(2)(A)**

**ANSWER OF RESPONDENT
MSC MEDITERRANEAN SHIPPING COMPANY, S.A.**

Respondent MSC Mediterranean Shipping Company, S.A. (“Respondent”) hereby answers the Order of Investigation and Hearing in this proceeding as follows:

**STATEMENT OF FACTS
CONSTITUTING BASIS OF VIOLATIONS**

1. Admitted.
2. Admitted.
3. Admitted.
4. MSC lacks sufficient information to admit or deny because the term “top” is not defined and is vague and ambiguous and because the phrase “largest imported TEUs” is also vague and ambiguous.
5. MSC lacks sufficient information to admit or deny because the term “2M Alliance” is not defined and because the reference to a fleet size is ambiguous.
6. Admitted.

Merchant Clause

7. MSC’s Bill of Lading and Sea Waybill speak for themselves.

8. MSC's Bill of Lading and Sea Waybill speak for themselves.
9. MSC's Bill of Lading and Sea Waybill speak for themselves.
10. Paragraph 10 contains no factual allegation with respect to MSC and thus requires no response.
11. MSC lacks sufficient information to admit or deny as to (1) on the grounds that the terms "third parties" and "privity of contract" are not defined and are vague and ambiguous. Lacks sufficient information to admit or deny as to (2) on the grounds that the terms "third parties" and "beneficial cargo interest being shipped" are vague and ambiguous. Lacks sufficient information to admit or deny as to (3) on the grounds that the term "third parties" is vague and ambiguous.
12. The definition of "Merchant" in MSC's bill of lading speaks for itself.
13. Admit that MSC on some occasions bills the notify party on the bill of lading for detention and/or demurrage, but deny that this is a uniform policy. Deny that there is a policy of billing per diem charges to the notify party.
14. Denied. Demurrage, detention and/or per diem charges can be paid by and collected from persons other than those who are billed for such charges, even when such charges are billed to a notify party.
15. Admit that it is MSC's policy is to require written confirmation any time the party receiving an invoice is changed, and deny that the policy of requiring written confirmation applies solely as alleged in Paragraph 15 of the Order of Investigation and Hearing.
16. Admit that it is MSC's policy is not to remove charges from any account until the new recipient of the invoices has confirmed that it agrees to be billed for those charges, and deny that the policy requiring confirmation of agreement to be billed applies solely as alleged in Paragraph 16 of the Order of Investigation and Hearing.

V. Alexander & Co., Inc. (V. Alexander)

17. Admitted.
18. MSC lacks sufficient information to admit or deny.
19. The bills of lading speak for themselves.
20. MSC lacks sufficient information to admit or deny.
21. Admitted.

- 22. Admitted.
- 23. Admit MSC did not obtain consent from V. Alexander to “bind them” to the terms of its bill of lading, but deny that any such consent was needed.
- 24. The bills of lading speak for themselves.
- 25. Paragraph 25 states a legal conclusion rather than a factual allegation and thus does not require a response. To the extent a response is required, the allegations of paragraph 25 are denied.
- 26. MSC lacks sufficient information to admit or deny because the term “beneficial cargo interest” is not defined and is vague and ambiguous. Moreover, paragraph 26 states a conclusion of law that requires no response. To the extent a response is required, the allegations of paragraph 26 are denied.
- 27. Admitted.
- 28. Denied.

John S. Connor, Inc. (J. Connor)

- 29. Admitted.
- 30. MSC lacks sufficient information to admit or deny.
- 31. The bills of lading speak for themselves.
- 32. The bills of lading speak for themselves.
- 33. Admitted
- 34. Paragraph 34 states a legal conclusion rather than a factual allegation and thus does not require a response. To the extent a response is required, the allegations of paragraph 34 are denied.
- 35. MSC lacks sufficient information to admit or deny.
- 36. MSC lacks sufficient information to admit or deny because the term “beneficial cargo interest” is not defined and is vague and ambiguous. Moreover, paragraph 36 states a conclusion of law that requires no response. To the extent a response is required, the allegations of paragraph 36 are denied.
- 37. Admit that MSC did not obtain any indication from J. Connor that it accepted responsibility for the payment of rail detention, but deny that any such consent was needed.

38. Admit MSC did not obtain consent from J. Connor to “bind them” to the terms of its bill of lading, but deny that any such consent was needed.

39. Denied.

Welke Customs Brokers USA, Inc. (Welke USA)

40. MSC lacks sufficient information to admit or deny.

41. MSC lacks sufficient information to admit or deny.

42. The bills of lading speak for themselves.

43. The bills of lading speak for themselves.

44. Paragraph 44 states a conclusion of law that requires no response. To the extent a response is required, the allegations of paragraph 44 are denied.

45. MSC lacks sufficient information to admit or deny.

46. MSC lacks sufficient information to admit or deny because the term “beneficial cargo interest” is not defined and is vague and ambiguous. Moreover, paragraph 46 states a conclusion of law that requires no response. To the extent a response is required, the allegations of paragraph 46 are denied.

47. Admit MSC did not obtain consent from Welke USA to “bind them” to the terms of its bill of lading, but deny that any such consent was needed.

48. Admitted.

49. Admitted.

50. Admitted.

51. Admitted.

52. Denied.

Operating Reefer v. Non-Operating Reefer

53. Admit that some NORs were charged the same demurrage, detention, or per diem rate as operating reefers in 2021 in the U.S. trades.

54. Admit that MSC did not publish demurrage, detention or per diem rates expressly identified as applicable to NORs in 2021 in the U.S. trades.

- 55. Denied.
- 56. Admitted.
- 57. Admitted.
- 58. Admitted.
- 59. MSC lacks sufficient information to admit or deny because the term “managing” is vague and ambiguous.
- 60. Admitted.
- 61. Admitted.
- 62. Denied.
- 63. Admitted.

THE COMMISSION’S JURISDICTION AND REQUIREMENTS OF LAW

- 65. 46 U.S.C. § 41302(a) speaks for itself.
- 66. Admitted.
- 67. Admitted.
- 68. 46 U.S.C. §41102(c) speaks for itself.
- 69. 46 U.S.C. §§40501(a)(1) and (b)(4) speak for themselves.
- 70. 46 U.S.C. § 41104(a)(2)(A) speaks for itself.
- 71. 46 U.S.C. § 41304 speaks for itself. The remainder of paragraph 71 states a legal conclusion that requires no response.
- 72. 46 U.S.C. § 41109 speaks for itself.

VIOLATIONS OF THE SHIPPING ACT

MERCHANT CLAUSE APPLICATION IN ALLEGED VIOLATION OF 46 U.S.C. § 41102(c)

- 73. 46 U.S.C. § 41102(c) speaks for itself.
- 74. Denied.
- 75. Denied.
- 76. Denied.
- 77. Admitted as to what the Order of Investigation and Hearing alleges, but denied as to the accuracy of those allegations.

BILLING IN ALLEGED VIOLATION OF 46 U.S.C. § 41102(c)

- 78. Admitted.
- 79. Admitted as to what the Order of Investigation and Hearing alleges, but denied as to the accuracy of those allegations.
- 80. Admitted as to the nature of the allegation, but denied as to the accuracy of the allegation.
- 81. Admitted as to the nature of the allegation, but denied as to the accuracy of the allegation.

**FAILURE TO PUBLISH TARIFF RATES
IN ALLEGED VIOLATION OF 46 U.S.C. § 40501**

- 82. 46 U.S.C. § 40501 speaks for itself.
- 83. Admit that separate detention and demurrage rates for NORs were not published prior to March 9, 2023, but deny this contravened 46 U.S.C. § 40501(a)(1) and or 40501(b)(4).
- 84. Paragraph 84 states a legal conclusion that does not require a response.
- 85. Denied.

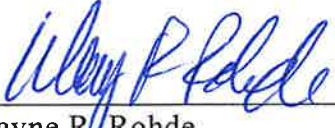
**FAILURE TO PROVIDE SERVICES IN ACCORDANCE WITH
PUBLISHED RATES IN ALLEGED VIOLATION OF
46 U.S.C. § 41104(a)(2)(A)**

- 86. 46 U.S.C. § 41104(a)(2)(A) speaks for itself.
- 87. Paragraph 87 states a legal conclusion that requires no response.
- 88. Paragraph 88 is a mix of hypothetical legal conclusions and legal, rather than factual, allegations. It requires no response but, to the extent a response is required, the allegations of Paragraph 88 are denied.

AFFIRMATIVE DEFENSES

- 1. The assessment of penalties with respect to some of the alleged violations is barred by the statute of limitations.
- 2. The assessment of penalties would be arbitrary and capricious and not in accordance with law.

Respectfully submitted,

By: 
Wayne R. Rohde
COZEN O'CONNOR
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(202) 463-2507

Dated: September 5, 2023

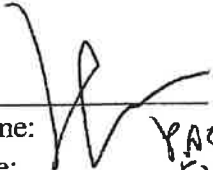
VERIFICATION

VERIFICATION OF RESPONDENT MSC MEDITERRANEAN SHIPPING COMPANY S.A.

I, PAOLO MAGNAN, hereby verify as follows:

1. I am ^{FMC Compliance officer} ^ of MSC Mediterranean Shipping Company S.A. and Executive Vice President of Mediterranean Shipping Company(USA) Inc.
2. I am authorized to make this verification on behalf of MSC Mediterranean Shipping Company S.A.
3. I declare under penalty of perjury under the laws of the United States that the foregoing answer is true and correct to the best of my knowledge, information, and belief.

Dated: September 5, 2023

Name: 

Title:

PAOLO MAGNAN
EVP

CERTIFICATE OF SERVICE

I certify that, on September 5, 2023, a true and current copy of the foregoing Answer was filed via electronic mail with the Secretary of the Federal Maritime Commission, and a copy was served via electronic mail on the following counsel:

Julie L. Berestov, Esq. (jberestov@fmc.gov)
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Serena L. Tang, Esq. (stang@fmc.gov)
Office of Enforcement
Bureau of Enforcement, Investigation and Compliance
Federal Maritime Commission

Dated: September 5, 2023

/s/ Wayne Rohde

Wayne Rohde
Cozen O'Connor